



INSURANCE CONTRACT & PROPOSAL

1. INTRODUCTION

This Insurance Contract Proposal provides combined coverage for the Regional R&D & Production Hub, including hardware protection, cyber risk insurance, and professional liability (E&O). Coverage is provided jointly by:

- **AXA Belgium** — Hardware & Electronics
- **Hiscox Europe** — Cyber Risk & Professional Liability

For: NVIDIA Regional R&D Hub

Provider: Full Duplex (broker) with carriers as indicated

1) Parties

- Policyholder/Insured: NVIDIA Regional R&D Hub (“Insured”)
- Broker: Full Duplex (“Broker”)
- Carriers:
 - **AXA Belgium** — Hardware & Electronics
 - **Hiscox Europe** — Cyber Risk & Professional Liability

2) Term and Effective Date

- Policy Term: Three contract durations (1, 3, and 5 years) are available from Effective Date.
- Effective Date: 3 July 2026.

3) Total Estimated Annual Premium

- AG Hardware Insurance: approximately €1,800/year.
- Hiscox Cyber Insurance (via Vanbreda): approximately €2200/year.
- Total Estimated Annual Premium: approximately €4000/year (plus applicable taxes/fees).
- Note: All premiums are indicative and subject to final underwriting, risk questionnaires, and asset verification.

2. COVERAGE SUMMARY

AXA — Hardware & Electronics Insurance

- **Coverage Amount:** €350,000 – €600,000
- **Covered Assets:**
 - 48 standard workstations
 - 10 high-end GPU production systems
 - Server room equipment (NAS/SAN, switches, UPS, racks)
 - 4 multifunction printers
- **Covered Risks:**
 - Fire, water, electrical damage
 - Theft, vandalism
 - Accidental damage

Hiscox — Cyber Risk & E&O Insurance

- **Cyber Coverage:** €500,000 – €1,000,000
- **E&O Liability:** €500,000 – €1,000,000
- **Covered Risks:**
 - Cyber-attacks, ransomware, data breaches
 - Cloud service failure
 - AI/LLM development liability
 - Intellectual property disputes
 - Professional negligence

SECTION A

AG INSURANCE – HARDWARE & IT EQUIPMENT COVERAGE

1. Purpose of Coverage

Covered Assets: On-premises IT and network hardware listed in Section 5 (and approved additions).

- **Covered Perils:** Accidental damage, theft (forcible/violent entry), fire, water damage, electrical surge, and transit between NVIDIA sites when declared.
- **Sum Insured/Basis:**
 - **Basis of Cover:** Replacement cost (new-for-old) unless otherwise stated.
 - **Sublimits:** Standard sublimits for portable equipment, theft from unattended vehicles, and transit apply; listed in the final policy schedule.
- **Deductible/Excess:** As per policy schedule (typical €250–€1,000 per incident; confirm on binding).

- Geographic Scope: Primary office(s)/data rooms in Brussels; temporary cover for equipment in EU/EEA during projects or servicing when notified to Broker.
 - Exclusions (summary): Wear and tear, latent defects, cosmetic damage, unexplained disappearance, intentional acts, manufacturer defects under warranty, consequential loss unless endorsed. Full exclusions per policy wording.
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2. Insured IT Infrastructure

The insured assets include:

Equipment	Quantity
Desktop computers / workstations	48
Servers	9
Routers	2
Firewall appliances	1
Layer 3 switches	5
Layer 2 switches	6
Network racks and accessories	Included if declared
UPS / power protection equipment	Included if declared
DMZ network infrastructure	Included

SECTION B

HISCOX CYBER & PROFESSIONAL LIABILITY COVERAGE

- Insuring Agreements (typical Hiscox wording, subject to schedule):
 - Incident Response Costs: Forensics, crisis management, legal counsel, breach response.
 - Data Breach Liability: Third-party claims for privacy violations, regulatory investigations/defense (e.g., GDPR), civil fines/penalties where insurable by law.

- Business Interruption: Loss of net profit and extra expense due to insured cyber events, including malware, DDoS, ransomware (subject to waiting period).
- Cyber Extortion: Ransom negotiation support and payments where legal, with conditions on due diligence and law enforcement engagement.
- Digital Asset Restoration: Data and software restoration costs after corruption or deletion.
- Media Liability: Defamation, IP infringement in digital content, where applicable.
- PCI/Contractual Liability: Where explicitly endorsed and applicable to card data handling.
- Limits and Sublimits:
 - Policy Aggregate Limit: To be agreed (commonly €1m–€5m); align with BI exposure.
 - Sublimits: Incident response, extortion, regulatory defense, and data restoration typically have sublimits; set during binding.
- Deductibles/Waiting Period:
 - Retention for first-party losses (e.g., €5k–€25k typical).
 - BI waiting period (e.g., 8–12 hours).
- Conditions/Requirements:
 - Reasonable security controls (patching, MFA for privileged access, endpoint protection, backups with offline/immutable copies, email filtering, network segmentation).
 - Incident Response Plan and vendor panel usage (forensics/legal) unless pre-approved alternatives.
- Exclusions (summary): Prior known incidents, war/critical infrastructure carve-outs as per wording, deliberate acts, fines not insurable by law, failure to maintain minimum controls if represented in the application.

3) Services Provided by Broker (Full Duplex)

- Risk Assessment and Placement:
 - Coordination of underwriting questionnaires (hardware valuations, cyber controls).
 - Market placement with AG (hardware) and Hiscox via Vanbreda (cyber), obtaining quotes and terms.
- Policy Administration:
 - Issuance and endorsement management.
 - Certificate/Proof of Insurance delivery to NVIDIA stakeholders.
- Ongoing Advisory:
 - Quarterly check-ins on asset changes, security posture, and coverage adequacy.
 - Guidance on improvements to meet/maintain cyber policy conditions.
- Claims Support:
 - First notice of loss facilitation, coordination with carriers, documentation, and monitoring through settlement.
 - Access to incident response panels for cyber claims.

4) Change Management — Adding/Removing Devices

- Notification: Insured will notify Full duplex within 30 days of significant asset changes or within 5 business days for any single device with replacement cost > €25,000.
- Automatic Acquisition Clause: Up to [e.g., 10%] of declared values covered automatically during the policy term; subject to prompt declaration at quarter end for schedule true-up.
- Mid-Term Adjustments: Premiums prorated for additions/removals; revised schedule issued.
- Annual Reconciliation: True-up against actual average asset base; premium adjusted at renewal.

5) Limits, Sublimits, and Valuation Guidance

- Hardware (AG):
 - Target Total Sum Insured: **€203,524.26 (Hardware cost)**
 - Per-location and per-item sublimits: to be confirmed on binding.
- Cyber (Hiscox):
 - Sublimits for incident response (€X), data restoration (€X), cyber extortion (€X), regulatory defense (€X) — to be finalized.
- Valuation: Use new-for-old pricing from current vendor quotes; refresh quarterly for volatile components (e.g., GPUs, storage).

6) Security and Risk Management (for Cyber Eligibility)

- Minimum Controls:
 - MFA for admin/remote access; privileged access management.
 - Regular patch cadence and vulnerability management (critical within 7–14 days).
 - Endpoint detection/response on servers and PCs.
 - Network segmentation between R&D, production, and corporate IT; firewall rules reviewed quarterly.
 - Daily backups with offline/immutable copies; quarterly restoration tests.
 - Email security (DMARC, anti-phishing), user training, incident response runbooks.
- Third-Party Dependencies: Identify critical SaaS and hosting providers; document RTO/RPO targets.

7) Claims and Incident Response

- Hardware Claims (AG):
 - Prompt notice to Broker; photos, incident report, police report for theft, inventory/serials, replacement quotes.
 - Mitigation steps to prevent further damage.

- Cyber Incidents (Hiscox):
 - Immediate notice to the 24/7 hotline/panel; preserve logs/evidence.
 - Engage approved forensic/legal vendors; coordinate communications and regulatory notifications.
 - Record downtime, costs, and decisions for BI and extortion coverage.

8) Compliance and Data Protection

- GDPR: Cyber coverage may include regulatory defense and certain insurable penalties; legality varies by jurisdiction.
- Confidentiality: Broker and carriers will treat asset lists, configs, and incident data as confidential per NDA or policy terms.

9) Financial Terms and Administration

- Premium Payment: Annual in advance unless installment plan agreed.
 - Taxes/Fees: Local insurance premium tax and broker fees apply as per jurisdiction.
 - Cancellation: Standard short-rate cancellation by Insured; pro-rata by carriers where applicable; notice periods per policy.
 - Governing Law/Jurisdiction: Brussels.
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10. PREMIUM SUMMARY

Annual Premium

Insurance	Annual Premium
AG Hardware Insurance	€1,800
Hiscox Cyber Insurance	€2,200
Total Annual Premium	€4,000

AXA — Hardware & Electronics Insurance

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11. CONTRACT OPTIONS

OPTION 1 — 1-YEAR CONTRACT

- **Duration:** 12 months
- **Annual Premium:** €4,000
- **Total Insured Value:** €850,000 – €1,600,000
- **Renewal:** Annual

OPTION 3 — 5-YEAR CONTRACT

- **Duration:** 60 months
- **Annual Premium:** €4,000
- **Total Premium:** €20,000
- **Total Insured Value:** €1,000,000 – €2,000,000
- **Benefit:** Highest stability & extended cyber protection

12. TERMS & CONDITIONS

General Conditions

- Coverage begins upon receipt of the first premium payment.
- All insured equipment must be inventoried and updated annually.

- The insured must maintain reasonable security measures (access control, fire safety, cybersecurity).
- Any material change in risk must be reported within 30 days.

Exclusions

- Intentional damage or fraud
- War, terrorism, nuclear incidents
- Unlicensed or pirated software
- Wear and tear, corrosion, or aging
- Equipment older than 7 years
- Pre-existing cyber breaches

Deductibles

- Hardware claims: **€1,000 per incident**
- Cyber claims: **€2,500 per incident**
- E&O claims: **€5,000 per incident**

CLAIM PROCEDURES

Hardware & Electronics Claims (AXA)

1. Notify AXA within **48 hours**.
2. Provide photos, serial numbers, and damage reports.
3. AXA may send an assessor within 5 business days.
4. Replacement or repair approved within 10–15 business days.

Cyber Incident Claims (Hiscox)

1. Report incident within **24 hours**.
2. Hiscox activates Cyber Emergency Response Team.
3. Forensic investigation begins within 12–24 hours.
4. Recovery, data restoration, and legal support provided.
5. Final settlement within 30–45 days.

E&O Claims (Hiscox)

1. Notify Hiscox immediately upon receiving a complaint.
2. Provide all relevant documentation.
3. Hiscox appoints legal counsel.
4. Settlement or defense proceeds per policy terms.

LEGAL CLAUSES

Governing Law

This contract is governed by the laws of **Belgium**.

Liability Limits

- Maximum payout per incident is limited to the coverage amount.
- Aggregate annual limits apply to cyber and E&O claims.

Subrogation

Insurers may pursue recovery from third parties responsible for damages.

Confidentiality

All claim information and investigations remain confidential.

Dispute Resolution

Disputes shall be resolved through:

1. Negotiation
2. Mediation
3. Arbitration in Brussels

13. SIGNATURE SECTION

Selected Contract Option

☐ 1-Year Contract

☐ 5-Year Contract

Client Information

Company Name: _____

Authorized Representative: _____

Position/Title: _____

Signature: _____

Date: _____

Insurer Representatives

AXA Belgium

Name: _____

Signature: _____

Date: _____

Hiscox Europe

Name: _____

Signature: _____

Date: _____